

Dr. E., may I ask about your personal portfolio? What do you invest in?

His answer surprised most of the class:

I don't have much of a portfolio at present. I'm too involved with paying two mortgages, an auto loan, tuition....

Later, a member of the class told us:

It's like the fellow who wrote the book on one hundred clever things to say to attractive women. But the guy did not know any good-looking women.

Why don't the financial advisors of under accumulating gift receivers emphasize thrift in their messages? All too often financial advisors have a narrow focus. They sell investments and investment advice. They don't teach thrift and budgeting. Many find it embarrassing, even degrading, to suggest to clients that their lifestyle is too high.

In fairness, many high-income individuals as well as their advisors have no idea how much net worth someone should have, given certain income and age parameters. Additionally, financial advisors are often unaware that their clients receive sizable cash gifts each year. Relying solely on a client's earned income statement, they may likely say:

Well, Bill, for a fellow who is forty-four years of age and who earns \$70,000 annually, you're doing pretty well. Pretty well in terms of your lovely home, boat, foreign luxury automobiles, donations, and even your investment portfolio.

Would the same advisor feel this way if Bill told him about the tax-free cash gift of \$20,000 he receives each year from Mom and Dad?

It is important here to emphasize a point made throughout this book. Not all adult children of the affluent become UAWs. Those who do tend to have parents who heavily subsidize their children's standard of living.